heavily taxed by both the Centre and the states. Alcohol for human consumption, which is taxed by the states, has been left out. Electricity, which is also taxed by the states, has also been left out. These exclusions from GST make the transition still incomplete.

There were hundreds of rates and slabs of taxation in the states. GST did not adopt a single rate of tax but simplified the rate structure quite substantially. When it was implemented for the first time in July 2017, it had five rates of 0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent. The 0 per cent slab included basic food items such as milk, salt and fresh vegetables. The 5 per cent slab covered most essential items like kerosene, LPG, edible vegetable oil, footwear of less than Rs 500, apparel of less than Rs 1000, milk food for babies, etc. The 12 per cent slab was meant for goods of desirable consumption like ghee, almonds, umbrellas, preparations of vegetables, etc. The normal rate of GST was 18 per cent and it was imposed on most items. Most services were also in the 18 per cent slab. The 28 per cent slab included items of high value or luxury like cars, motorcycles, air-conditioners and refrigerators. In addition, ‘sin’ goods like cigarettes and high-end cars attracted a cess as well. The number of items in the 28 per cent slab has been gradually reduced.

## GST Did Not Fulfil its Promise of Generating Additional Tax Revenues

The revenue neutral rate (RNR) is a single rate at which collection of GST is expected to be equal to the collections under the indirect taxes collected by the Centre and states, in the same year under reference. A committee headed by Chief Economic Advisor Arvind Subramanian in 2015 recommended 15–15.5 per cent as a good RNR. However, the Centre and the states did not agree to the concept of a single rate of GST. That said, when GST was implemented in July 2017, there were widespread